

BEFORE THE FEDERAL MARITIME COMMISSION

INTERMODAL MOTOR CARRIERS CONFERENCE,	)	
AMERICAN TRUCKING ASSOCIATIONS, INC.	)	
	)	
Complainant,	)	
	)	
v.	)	
	)	FMC Docket No. 20-14
OCEAN CARRIER EQUIPMENT MANAGEMENT	)	
ASSOCIATION, INC.; CONSOLIDATED CHASSIS	)	
MANAGEMENT, LLC; CMA CGM S.A.; COSCO	)	
SHIPPING LINES CO. LTD.; EVERGREEN LINE	)	
JOINT SERVICE AGREEMENT, FMC NO. 011982;	)	
HAPAG-LLOYD AG; HMM CO. LTD.; MAERSK	)	
A/S; MSC MEDITERRANEAN SHIPPING	)	
COMPANY S.A.; OCEAN NETWORK EXPRESS	)	
PTE. LTD.; WAN HAI LINES LTD.; YANG MING	)	
MARINE TRANSPORT CORP.; AND	)	
ZIM INTEGRATED SHIPPING SERVICES,	)	
	)	
Respondents.	)	
	)	

**RESPONDENTS' CROSS MOTION FOR AMENDMENT OF
SCHEDULING ORDER TO COMPLETE DOCUMENT PRODUCTION**

MSC Mediterranean Shipping Company S.A., ZIM Integrated Shipping Services, COSCO Shipping Lines Co. Ltd. and Wan Hai Lines Ltd. (collectively, the “Motion Respondents”) have submitted their response in opposition to the Complainant’s Motion to Compel Discovery and for Sanctions (the “Motion”). In accordance with Paragraph 11 of the Initial Order issued in this proceeding on July 30, 2020, the Motion Respondents’ opposing counterstatements and counterarguments have been inputted into the Complainant’s Motion to Compel with Motion Respondents’ Counterstatements that accompanies this filing. In addition, for the reasons stated below, all Respondents to this proceeding cross move for an amendment of the current Scheduling Order, extending the time to complete document production for an additional thirty days.

I. BACKGROUND OF THE PARTIES' DISPUTES

In addition to those reasons set forth in the accompanying Complainant's Motion to Compel with Motion Respondents' Counterstatements, all Respondents request an extension of time to complete document production on the grounds that (1) additional time is needed to obtain, or compel, production of responsive documents from the subpoenaed non-party IMCC members ("IMCC Members") who did not respond or who responded inadequately to Respondents' discovery requests; and (2) to analyze the substantial quantity of documents produced by three of the subpoenaed IMCC Members just prior to the scheduled end of document production which, in total, amount to approximately one million pages.

A. Productions by the Subpoenaed Non-Party IMCC Members

The real parties in interest in this case, which actually possess documents that are material to the IMCC's claims and the Respondents' defenses to same, are not the IMCC or the ATA, but the IMCC Members who are not parties to this litigation.

1. Nature of Documents Requested From Non-Party IMCC Members

In the Complaint, the IMCC claimed that Respondents' allegedly unlawful practices caused its members and "their shipping and receiving customers, and ultimately the consuming public," (but not the Complainant) to be overcharged in excess of \$1.8 billion (see paragraphs 4 and 82 of the Complaint) and that the Complaint was brought on behalf of these members (see paragraph 1 of the Complaint). Yet, in response to a discovery request for "(a)ll documents supporting or relating to the allegation of overcharges of \$1.8 billion..." the Complainant objected to this Request on the grounds, in addition to others, that "it seeks Documents not in Complainant's possession, custody, or control." Put simply, the IMCC claimed that it did not

have any of the documents which proved or disproved the allegation of damages that it had made in the Complaint, under oath.

Notably, this allegation regarding alleged overcharges is suspect because Respondents are in possession of information which gives them a reasonable basis to believe that the motor carriers whom the Complainant claims to represent, i.e., the IMCC Members, not only pass through chassis usage and per diem charges to their customers but impose a substantial mark-up, i.e., charge their customers more than the IMCC Member is charged by the chassis provider. This fact alone undercuts the IMCC argument that Respondents have caused the alleged overcharges, and indeed whether IMCC Members have been overcharged or even sustained any damages at all, much less the \$1.8 billion alleged in the Complaint. It is also highly relevant to the reasonableness of the practices that are at issue in this proceeding.

To flesh out this evidence, several categories of documents were requested via subpoena from fourteen IMCC Members¹ on this issue; specifically, documents showing “(vii) the amount paid to the chassis provider; and (viii) the amount billed by You to your customer for use of the chassis.”² Related to this request, Subpoena RFP No. 10 sought documents “which relate to the claim that You were overcharged for chassis used for Merchant Haulage movements” and Subpoena RFP No. 11 requested documents “which relate to the claim that you suffered financial injury through the payment of overcharges of chassis used for Merchant Haulage movements.”³ IMCC’s counsel, who represented the subpoenaed IMCC Members, objected to the production of such documents. However, following a meet and confer to resolve this issue, we confirmed

¹ According to its Interrogatory answers, IMCC has 170 members, so the number of subpoenaed non-party IMCC members was very modest.

² See Request no. 4 of the schedule of requested documents served on the IMCC Members, attached to the Raleigh Declaration as Exhibit 2 (“Requests for Documents”). The Requests for Documents served on each IMCC Member is identical.

³ Raleigh Declaration, Exhibit 2.

those categories of documents that would satisfy the requests for this information from the subpoenaed IMCC Members in a May 19, 2021 email:

Subpoena RFP Nos. 10 and 11: this will clarify that production of the following categories of documents will satisfy these requests: (1) invoices rendered by chassis providers to Motor Carriers for Use Charges incurred during Merchant Haulage moves; (2) invoices rendered for those Merchant Haulage moves by Motor Carriers which assess charges to their customers for the use of those chassis; and, (3) other business records which show the charges assessed by equipment providers for such chassis and the charges from Motor Carriers to their customers for the use of those chassis. (Raleigh Declaration, Exhibit 3)

Thereafter, in an email dated May 20, 2021, IMCC's counsel confirmed their agreement to produce these categories of documents:

Subpoena RFP Nos. 10 and 11. We acknowledge your clarifications articulated below, and you will receive documents (including invoices, data, price sheets and / or other documents kept in the ordinary course of business responsive to those clarifications.” (Raleigh Declaration, Exhibit 4)

2. Productions by Nonparty IMCC Members

There has been a tremendous divergence in the productions from the subpoenaed IMCC Members, which are summarized below:

- No Response Based on “Not Geographically Relevant”
 - Four motor carriers did not respond to the subpoena on the grounds that they do not operate in the geographic areas to which the parties allegedly agreed to limit discovery: Best, Devine, Excargo, and Triple G.⁴
- No Response Based on “Doesn’t Rent or Lease Chassis”
 - RDS did not respond on the grounds it does not rent or lease chassis for the movement of intermodal containers.
- No Response/No Explanation:
 - Ability Tri-Modal and Lightning Transportation

⁴ Respondents maintain that the geographic limitation which these four IMCC Members have hid behind to avoid producing any documents should not be allowed to frustrate production of documents material to the IMCC Members’ alleged damages and the Respondents’ defenses. Respondents reserve their right to move to compel these four IMCC Members to produce documents responsive to the subpoenas served upon them.

- Motor Carrier Responses
 - o (a) Bulldog – 57 documents, 57 pages. No invoices to cargo interests or tariffs.
 - o CPG – 29 documents, 114 pages. No invoices to cargo interests or tariffs.
 - o Evans – 101,917 documents, 116,679 pages. Review and analysis of this production has not been completed due to its size.
 - o IMC – 7 documents, no invoices to cargo interests or tariffs.
 - o Reliable – 166,758 documents, 228,379 pages. Review of this production has not been completed due to its size.
 - o TCW – 4,406 documents, 6,394 pages. No invoices to cargo interests or tariffs.
 - o Trimodal – 15 documents, 292 pages. No invoices to cargo interests or tariffs.
 - o Ventura – 2 documents, 3 pages. No invoices to cargo interests or tariffs.
 - o IMC Group – 215,079 documents, 707,808 pages. Review and analysis of this production has not been completed due to its size and the recent date of production.

The wide disparity in the volume of documents produced by the IMCC Members raises serious questions about the completeness of some productions and the reasonableness of others. Other subpoenaed IMCC Members have not responded at all. However, most striking is the failure of the vast majority of subpoenaed IMCC Members to provide the invoice information that their counsel committed to produce. (Raleigh Declaration, Exhibit 4) As noted above, this information is highly relevant to the veracity of specific allegations in the Complaint regarding the damages allegedly sustained by the IMCC Members, and the Respondents' defenses.

B. Attempt to Meet and Confer

The efforts to meet and confer with IMCC's counsel to discuss resolution of the discovery issues between the parties were described at page 2 of the Response to Complainant's Request for Expedited Consideration and Immediate Relief, and for the sake of brevity will not

be reiterated here. It does bear repeating however that IMCC's counsel refused to discuss an amicable resolution of the production difficulties encountered by the Motion Respondents and simply wanted confirmation, as a basis for the Motion, that documents from the Motion Respondents would not be produced "immediately." As is evident from the above, the Motion Respondents could not possibly have met that demand and, upon being advised of this, IMCC's counsel terminated all further dialogue and filed the Motion approximately three hours later. Similarly, IMCC's counsel refused to discuss the shortcomings, described above, in the IMCC Members' document productions, and curtly informed Respondents' counsel to write a letter describing the deficiencies.⁵

II. THE TIME TO PRODUCE DOCUMENTS SHOULD BE EXTENDED

The Commission's regulations require that discovery be completed within 150 days of the service of a respondent's answer. 46 C.F.R. §502.141(g). While that may be a reasonable time to complete discovery in a relatively straightforward case between a single complainant and a single respondent, it is not realistic for a case involving fourteen Respondents, and a complainant association with 170 members, in which it is alleged that IMCC Members have sustained \$1.8 billion in damages.

Respondents acknowledge that prompt resolution of claims and disputes arising under the statutes administered by the Commission is a laudable goal, one which the deadlines for issuance of initial and final decisions are intended to achieve. Scheduling orders are an important part of this process, and are not taken lightly. However, at the same time it must be noted that it is not unusual for the deadlines for completion of discovery and/or for the issuance of initial and final

⁵ Respondents intend to attempt in good faith to resolve the IMCC Members' outstanding deficiencies with counsel for Complainant and the IMCC Members they represent. However, Respondents expressly reserve all rights and remedies with respect to the discovery responses of Complainant and the subpoenaed IMCC Members.

decisions to be extended by administrative law judges and the Commission, and for scheduling orders to be revised accordingly. Indeed, Respondents believe that absent resolution via settlement or dispositive motion, it is likely more common for decisions on the merits to require more time than allotted under the regulations than not.⁶

There are also policy considerations which favor allowing sufficient time for a full development of the evidentiary record before an agency over strict adherence to a particular schedule. *Hudson Shipping (Hong Kong) Ltd. d/b/a Hudson Express Lines – Possible Violations of Section 10(a)(1) of the Shipping Act of 1984*, 29 S.R.R. 1376, 1377 (ALJ 2002)(policy and responsibility of Commission and, by delegation of authority, presiding judge, to inquire into and consider all relevant facts; of even greater importance than the concept of fairness between the parties, as they maneuver to develop a record which fits their positions, is the need to ensure that justice is served and all relevant facts are considered by the Commission). Adherence to a schedule should not override these policy considerations. See also, *Anderson International Transport and Own Anderson – Possible Violations of Sections 8(a) and 19 of the Shipping Act of 1984*, 31 S.R.R. 1091 (FMC 2009)(citing policy considerations discussed in *Hudson* as basis for reopening the record).

Respondents appreciate the modification of the 150 day limitation which the Presiding Officer has given to the parties and have done a great deal of work to complete the document production phase of the litigation; however, as demonstrated above, the number of Respondents, the broad scope of documents demanded and search terms imposed by Complainant, and the

⁶ Some recent examples of this include FMC Docket No. 15-11 (complaint filed November 16, 2015, FMC decision now due October 18, 2021); FMC Docket No. 17-05 (complaint filed May 23, 2017, initial decision issued May 24, 2019, Commission decision issued July 26, 2021); FMC Docket No. 19-02 (complaint filed December 20, 2018, initial decision issues March 30, 2021, case stayed from June to November of 2020). None of these cases involved the number of respondents, third party witnesses, and potential legal issues that are involved in this proceeding.

need to obtain evidence from IMCC Members that is critical to the Respondents' defenses, warrants that Respondents request additional flexibility in the Schedule.

Respondents believe that good cause has been demonstrated to modify the deadlines in the Second Amended Scheduling Order and propose the following revisions to the schedule to enable the parties to complete the work that this complex case requires:

<u>Event</u>	<u>Current Deadline</u>	<u>Requested Deadline</u>
Complete document production:	September 3, 2021	October 1, 2021
Depositions begin:	September 20, 2021	September 20, 2021 ⁷
Complete fact depositions:	November 18, 2021	December 10, 2021
Joint stipulation of facts:	December 7, 2021	December 20, 2021
Disclosure of initial expert reports:	December 16, 2021	January 20, 2021
Disclosure of rebuttal expert reports:	January 10, 2022	February 10, 2022
Expert discovery cut-off:	January 24, 2022	February 24, 2022
Completion of discovery:	February 7, 2022	March 10, 2022
Motions for Summary Judgment	February 22, 2022	March 24, 2022

Respectfully submitted,

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By: /s/ Gerald Morrissey

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⁷ Depositions of witnesses from Consolidated Chassis Management, LLC have already been noticed for September 20 and 22, 2021, and Respondents' counsel has advised these witnesses will be produced on the requested dates. The deposition of Hapag Lloyd is also scheduled to begin on October 1, 2021.

⁸ Other than Hapag-Lloyd AG and Yang Ming Marine Transport Corporation, and as co-counsel for Evergreen Line Joint Service Agreement.

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DATED: September 14, 2021

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 14th day of September, 2021, a true and correct copy of the foregoing (i) Response to Complainant's Motion To Compel Discovery From Respondents MSC Mediterranean Shipping Company S.A., Zim Integrated Shipping Services, COSCO Shipping Lines Co Ltd., and Wan Hai Lines Ltd., And For Sanctions; and (ii) Respondents' Cross Motion For Amendment Of Scheduling Order To Complete Document Production were served via electronic mail on:

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A handwritten signature in black ink, appearing to read "Wayne R. Rohde". The signature is stylized with a large, sweeping "W" and a cursive "Rohde".

Wayne R. Rohde